

5-6a Chart of Accounts under the Periodic Inventory System

The chart of accounts for **NetSolutions** under a periodic inventory system is shown in **Exhibit 18**. The accounts used to record transactions under the periodic inventory system are highlighted in blue in **Exhibit 18**.

Exhibit 18

Chart of Accounts under the Periodic Inventory System

Balance Sheet Accounts	Income Statement Accounts
100 Assets	400 Revenues
110 Cash	410 Sales
111 Notes Receivable	500 Costs and Expenses
112 Accounts Receivable	510 Purchases
115 Inventory	511 Purchases Returns and Allowances
116 Estimated Returns Inventory	512 Purchases Discounts
117 Office Supplies	513 Freight In
118 Prepaid Insurance	520 Sales Salaries Expense
120 Land	521 Advertising Expense
123 Store Equipment	522 Depreciation Expense—Store Equipment
124 Accumulated Depreciation—Store Equipment	523 Delivery Expense
125 Office Equipment	529 Miscellaneous Selling Expense
126 Accumulated Depreciation—Office Equipment	530 Office Salaries Expense
200 Liabilities	531 Rent Expense
210 Accounts Payable	532 Depreciation Expense—Office Equipment
211 Salaries Payable	533 Insurance Expense
212 Unearned Rent	534 Office Supplies Expense
213 Customer Refunds Payable	539 Misc. Administrative Expense
214 Estimated Coupons Payable	600 Other Revenue
215 Notes Payable	610 Rent Revenue
300 Stockholders' Equity	700 Other Expense
310 Common Stock	710 Interest Expense
311 Retained Earnings	
312 Dividends	

